

Beyond the Incentive–Access Paradigm? Product Differentiation & Copyright Revisited

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INTRODUCTION	1842
I. THE ECONOMICS OF COPYRIGHT POLICY AND MONOPOLISTIC COMPETITION	1848
A. IP Policy: The Supramarginal–Inframarginal Framework	1848
1. <i>The Problem: Nonexcludability, Not Public Goods.</i>	1849
2. <i>The Problem with the Solution: Property, Not Monopoly</i>	1850
3. <i>Trade-offs: Across, Not Within, Innovations.</i>	1854
4. <i>Refining the Trade-offs.</i>	1856
5. <i>Summary.</i>	1858
B. The Impact of Product Differentiation on Copyright-Policy Analysis	1859
1. <i>Price and Deadweight Loss</i>	1861
2. <i>Total Fixed Cost</i>	1864
3. <i>Variety</i>	1864
4. <i>Copyright as a Differentiated-Competition Lever</i>	1865
II. PRODUCT DIFFERENTIATION AND THE PARAMETERS OF COPYRIGHT PROTECTION	1866
A. Inclusive, Intense, & Narrow.....	1867
1. <i>Summary</i>	1867
2. <i>Policy Gaps and Conflicts</i>	1872
a. <i>Price Competition: How Much Benefit at What Cost?</i> 1872	
b. <i>The Declining Benefits of Added Variety</i>	1876
3. <i>Doctrinal Difficulties.</i>	1879
4. <i>Administrability Considerations</i>	1881
B. Weak(er) and Broad.....	1883
1. <i>Summary</i>	1883
2. <i>Discounting the Benefit of Increased Incentives</i>	1887
3. <i>Copyright as a Restraint on Demand Diversion</i>	1890
a. <i>Doctrinal Obstacles</i>	1893
b. <i>Theoretical Concerns</i>	1898
C. Taking Stock.....	1904
III. SOME MODEST PROPOSALS.....	1905
A. Reining in the Derivative-Works Right.....	1906
B. Originality as Novelty	1910
C. Trimmed Copyright for Derivatives	1915

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I. The Economics of Copyright Policy and Monopolistic Competition

We set out in this Part a general analytical framework to structure the subsequent discussion of particular doctrinal and policy recommendations. Our purpose is to integrate product differentiation theory with central dimensions of existing, nondifferentiated economic analysis of IP. Specifically, we seek to develop two sets of points: first, to establish what a relatively comprehensive economic analysis identifies as the central trade-offs involved in providing IP protection, and second, to identify what the importation of the economic theory of monopolistic competition based on product differentiation adds to copyright-policy analysis in this regard.

A. IP Policy: The Supramarginal-Inframarginal Framework

The economic analysis of IP rights, such as copyrights and patents, begins with the observation that the information goods protected by such rights exhibit the two defining features of public goods: nonexcludability and nonrivalrousness.¹⁷ Information goods are nonexcludable to the extent that once they are distributed to some, it is difficult to prevent access to them by others. And such goods are nonrivalrous to the extent that consumption of the work by one does not degrade the ability of others to consume and enjoy it. These observations and the analysis based on them are, by now, painfully familiar to anyone versed in the literature. And yet the basic analysis is often marred by mistakes or ambiguities which then continue to infect the analysis in its further elaborations. Here we restate

17. On public goods, see generally Thomas E. Borchering, *Competition, Exclusion, and the Optimal Supply of Public Goods*, 21 J.L. & ECON. 111 (1978); J.G. Head, *Public Goods and Public Policy*, 17 PUB. FIN. 197 (1962); Paul A. Samuelson, *The Pure Theory of Public Expenditure*, 36 REV. ECON. & STAT. 387 (1954).

the fundamental economic framework of IP rights, corrected for the mistakes and ambiguities that frequently haunt it.

1. *The Problem: Nonexcludability, Not Public Goods.*—IP rights are commonly described as a solution to a “public goods problem” produced either by nonrivalrousness, or by the combined effect of the two features of such goods.¹⁸ This description, however, is both incorrect and misleading. In fact, the two features of public goods do not combine to produce a single problem, but rather pull in opposite directions. The innovation policy problem posed by informational works—for which IP rights are one possible solution—is traceable to nonexcludability alone, with nonrivalrousness playing no part. Nonexcludability contributes to the problem by factoring into the gap between the costs of innovation (i.e., initially generating the information good), and the costs and speed of imitation (i.e., replicating a good generated by another). When the costs of imitation are substantially lower than those of creation and imitators cannot be excluded from accessing the work, prices may drop to a level that prevents the creators from appropriating enough of the social value of the work to recover their development costs. Under such conditions creators will be inefficiently discouraged from creating. Nonrivalrousness has nothing to do with this problem. The same problem may occur with nonexcludable goods that are rivalrous, such as in the case of the under-incentive to invest in a common pool (like a fishery) from which others cannot be excluded.¹⁹ Conversely, the problem would not occur were information goods excludable, no matter how nonrivalrous they may be.

To solve this problem, IP rights confer on their holder entitlements to exclude others from using, without the holder’s permission, the covered informational work in certain ways for certain periods of time.²⁰ The grant

18. See, e.g., JAMES BOYLE, SHAMANS, SOFTWARE, AND SPLEENS 41 (1996) (describing informational works as involving “public goods problems” related to nonrivalrousness); Fisher, *supra* note 12, at 169 (explaining that the two public good features of intellectual products “in combination create a danger that the creators of such products will be unable to recoup their ‘costs of expression’”); Fisher, *supra* note 9, at 1700 (“[Works of intellect] can be used and enjoyed by unlimited numbers of persons without being ‘used up.’ It is thus difficult to deny access to such works to persons who have not paid for the right to enjoy them.”); Brett M. Frischmann, *An Economic Theory of Infrastructure and Commons Management*, 89 MINN. L. REV. 917, 947 (2005) (“At times, nonrivalry seems inextricably linked to nonexcludability and the associated risk of free riding.” (citation omitted)); Yoo, *supra* note 1, at 214–15 (attributing the difficulty of authors to recoup to nonrivalry). Related misunderstandings include attributing the gap between the costs of innovation and those of imitation to the public-goods features of informational works and attributing low marginal costs of producing informational works to their nonrival or nonexcludable characteristics. Fisher, *supra* note 12, at 169; Landes & Posner, *supra* note 5, at 326.

19. This is commonly referred to as “the tragedy of the commons.” See Garrett Hardin, *The Tragedy of the Commons*, 162 SCIENCE 1243, 1244–45 (1968).

20. E.g., 17 U.S.C. § 106 (2012) (granting certain exclusive rights to copyright owners).

of such rights converts what are relatively nonexcludable goods into relatively excludable ones.

It is only at this point that nonrivalrousness enters the picture, by pointing to a problem with the IP rights solution. For resources that are rivalrous in consumption, the grant of exclusionary or property rights is generally considered salutary, or at least not troubling, from an economic point of view, since preventing or excluding use by one is necessary for use by another. However, for goods that are nonrivalrous in consumption—of which informational works are a paradigm example—exclusionary rights may function inefficiently, wastefully preventing uses that would not detract from simultaneous use by others. The justification for incurring this potential inefficiency is, of course, that without it some informational works may fail to be developed in the first place. Nonrivalrousness, however, accounts for a basic imperfection or problem associated with the IP rights solution, namely its conversion of an information good from a “public” to a “toll” good.²¹

IP rights aim to address, then, not a “public goods problem” associated with informational works but an “appropriability problem.” Nonexcludability contributes to the appropriability problem for which IP rights are one possible solution, while nonrivalrousness points to a problem with that solution. And from an economic point of view, the core task for IP policy is to balance the need for appropriability with the costs of underuse.

2. *The Problem with the Solution: Property, Not Monopoly.*—At this stage of the analysis another persistent ambiguity, even confusion, commonly appears: namely, the somewhat misguided debate over whether IP rights create “monopoly” power or are “merely” property. As just explained, the basic economic function of copyright and patent protection is to enable the creator of an informational work to charge a price for accessing that work that recoups some of the sunk costs incurred in developing it.²² Any such price will be higher than what, in static terms, is the economically efficient price, namely the marginal cost of disseminating the work (e.g., the cost of reproducing and distributing a physical or digital embodiment of the work). And the economic value represented by all the uses of all the consumers willing and able to pay the efficient price, but not the one charged by the copyright holder, constitutes the measure of “deadweight loss” associated with that degree of copyright protection.

21. By contrast, one virtue of alternative innovation policies such as public funding, prizes, or commons-based approaches is that they retain the “public goods” character of informational works by using mechanisms other than excludability to enable generation of such works, thereby avoiding the deadweight loss associated with propertizing a nonrival work.

22. See *supra* section I(A)(1).

This cost associated with IP rights has been traditionally described as stemming from the conferral of monopoly power on the rights owner.²³ Defenders of broad IP rights attack the premise that monopoly power is a necessary or even common feature of IP rights.²⁴ Information goods, they explain, often have substitutes.²⁵ A novel under copyright protection, for example, has to compete with many other novels in the market. If so, there is no reason to view IP rights owners as monopolists in the sense of “fac[ing] a demand curve with a negative slope” that allows them to raise prices above competitive level without losing all customers.²⁶ It follows that since IP rights do not, apart from exceptional cases, confer monopolies but rather ordinary property rights, they do not involve any special cost or policy problem.

The reply from commentators less sanguine of broad IP rights is to concede that IP rights do not always create monopolies, but then rejoin that monopoly power is a matter of degree and that in some cases, the exclusionary power created by IP rights does rise to the level of monopoly.²⁷

This entire debate, however, is mostly beside the point. Proper understanding of the economic framework dispels the idea that the main question is “whether the patent as monopoly is an important case that occurs frequently.”²⁸ *Property*, not monopoly, is the heart of the problem.

23. See, e.g., Fisher, *supra* note 9, at 1700 (“Granting an artist or inventor a property right in his creation may make him a monopolist . . .”); S.J. Liebowitz, *Copyright Law, Photocopying, and Price Discrimination*, in RESEARCH IN LAW AND ECONOMICS, *supra* note 12, at 181, 184; Ian E. Novos & Michael Waldman, *The Effects of Increased Copyright Protection: An Analytic Approach*, 92 J. POL. ECON. 236, 243 (1984).

24. Kenneth W. Dam, *The Economic Underpinnings of Patent Law*, 23 J. LEGAL STUD. 247, 249–50 (1994); Frank H. Easterbrook, *Intellectual Property is Still Property*, 13 HARV. J.L. & PUB. POL’Y 108, 109 (1990); Edmund Kitch, *Elementary and Persistent Errors in the Economic Analysis of Intellectual Property*, 53 VAND. L. REV. 1727, 1729–38 (2000) [hereinafter Kitch, *Elementary and Persistent Errors*]; Edmund Kitch, *Patents: Monopolies or Property Rights?*, in RESEARCH IN LAW AND ECONOMICS, *supra* note 12, at 31, 32 [hereinafter Kitch, *Monopolies or Property*]; Douglas A. Smith, *Collective Administration of Copyright*, in THE COLLECTIVE ADMINISTRATION OF PATENTS AND COPYRIGHTS 137, 139 (1986). See generally Sven Bostyn & Nicolas Petit, *Patent=Monopoly: A Legal Fiction* (Dec. 31, 2013) (unpublished manuscript), available at <http://ssrn.com/abstract=2373471>.

25. Kitch, *Monopolies or Property*, *supra* note 24, at 33; Yoo, *supra* note 1, at 217–19.

26. Kitch, *Monopolies or Property*, *supra* note 24, at 32.

27. See, e.g., Boyle, *supra* note 8, at 2018 (“The question of whether a monopoly exists is one that is determined by the availability of substitute goods, not the shape of the legal entitlement.”); Cohen, *supra* note 8 at 1811 (“Although a copyright does not necessarily guarantee market power, many information goods lack perfectly fungible substitutes.”); Fisher, *supra* note 9, at 1702–03 (stating that copyright holders’ market power “var[ies] considerably,” and stating that some copyright works are “considered irreplaceable,” while for others “there are readily available, nearly perfect substitutes”); Stewart E. Sterk, *Rhetoric and Reality in Copyright Law*, 94 MICH. L. REV. 1197, 1205 n.44 (1996) (“[C]opyright gives each author at least some monopoly power, and it gives greater power to some authors than to others.”).

28. Kitch, *Monopolies or Property*, *supra* note 24, at 33.

And what differentiates IP rights from other property rights in this respect is the fact that it covers nonrivalrous goods.

Two opposing but equally erroneous premises are worth identifying and disarming at this point. On the one hand, it is not necessary for their effective operation that the exclusionary rights granted by intellectual property over an informational work confer an economic “monopoly,” where that is taken to mean the kind of power over price and quantity that a firm enjoys when there exist no rival substitutes for its product on the market.²⁹ Monopoly power in this sense may be present in some cases of IP protection, but it is neither an inherent by-product of such protection nor a necessary or sufficient condition for this protection to provide effective incentives. On the other hand, it is necessary for IP protection, if it is to achieve its incentive function at all, to confer some supramarginal pricing power. In the absence of any degree of pricing power, there will be no added ability to recoup the fixed costs of development and no added incentive.³⁰ And the effect of such pricing power—in the absence of the unrealistic case of costless, perfect price discrimination—will be some deadweight loss.³¹ Supramarginal pricing power and deadweight loss, then, are necessary effects of copyright (or patent) protection.³² In the absence of

29. The traditional formulation of “monopoly power” is itself a somewhat ill-defined concept, since any firm’s product will face some downward competitive pressure on its price from alternative uses of consumer resources, whether or not such uses are seen as “substitutes.” In other words, pricing power and substitutes are always best understood as matters of degree, as opposed to categorical distinctions of kind.

30. To be sure, in specific contexts efficiency will not require any added incentive. These involve cases where alternative mechanisms such as lead time, contractual arrangements, social norms, or alternative business models allow innovators to capture enough of the social value of their innovation to cover development costs (capitalized, risk-adjusted, and including expenditures on efficiently incurred failed efforts). In such cases, intellectual property rights are not justified on an incentive basis, and absent other possible justifications, there is no reason to incur any of the costs associated with them.

31. See Ariel Katz, *Making Sense of Nonsense: Intellectual Property, Antitrust, and Market Power*, 49 ARIZ. L. REV. 837, 873 (2007). As explained in the text, Katz is right to state that “under monopolistic competition there is always some degree of market power, in the sense of price above marginal cost” and therefore “deadweight loss always exists.” *Id.* However, it is not accurate to state, as he does, that this is so because “the fact that the products are differentiated means that they are not perfect substitutes.” *Id.* While the degree of differentiation may affect the level of market power, so long as the monopolistic competition model applies there is market power and deadweight loss, even if products are perfect substitutes. See *infra* text accompanying notes 30–33, 39. Similarly, the conferral of supramarginal pricing power by IP rights is not, as Katz’s discussion suggests, merely a contingent claim with plausible empirical support. See Katz, *supra*, at 873. Rather, it is a structurally necessary feature of IP rights, unavoidable if they are to achieve their incentive function.

32. It is a separate question whether such pricing power should be taken to constitute “market power” in a technical sense relevant for antitrust law. The conventional wisdom among antitrust scholars seems to be “no,” although they have remained vague as to what other sense of “market power” they have in mind, besides the common economic one of being able to raise prices above marginal cost. See 2B PHILLIP E. AREEDA, HERBERT HOVENKAMP & JOHN L. SOLOW, ANTITRUST LAW: AN ANALYSIS OF ANTITRUST PRINCIPLES AND THEIR APPLICATION 138 (3rd ed. Supp. 2012) (“[M]arket power cannot be inferred, even presumptively, from the possession of

costless, perfect price discrimination, the notion of using IP rights to provide incentives without incurring deadweight loss is as conceivable as a perpetual motion machine.

To illustrate, consider the following three possible scenarios for a firm developing an expressive work—a book, a film, a song—that is potentially eligible for copyright protection:

Scenario (1): The work does not receive any copyright protection, rendering it vulnerable to uncompensated “free riding” by consumers or “corrosive” competition by replicating producers that may undermine the firm’s ability to recoup its capitalized costs of development. The result: no static inefficiency from copyright barriers to access, but also no provision of the dynamic incentive to create.

Scenario (2): The firm obtains copyright protection for its work, and the work has no, or at best very imperfect, substitutes, conferring on the firm “monopoly” power over the relevant market. The firm will use its pricing power to charge a profit-maximizing markup price over marginal cost. How much total revenue is generated by the marked-up price will depend on the size of the market and the elasticity of demand for this type of good. Where the revenues generated do not exceed the sunk costs of development, they are understood as only “quasi-rents” that simply go to cover the costs of development, with the firm ultimately not realizing any supernormal returns or “economic profit.” Where revenues do exceed the costs of development, then the firm realizes “rents” proper, or supernormal “monopoly” returns. Further, in the latter instance there is some amount of deadweight loss over and above that strictly necessary to generate the information work using copyright protection.

Scenario (3): Finally, consider a third case, where the firm’s copyrighted work faces competition from the copyrighted product of a rival firm—suppose, for instance, that both are mystery novels competing for the summer beach-reading market. Assume that while consumers significantly prefer either novel to the next-best option vying for their entertainment dollar, between the two of them they are indifferent. Thus, neither firm enjoys a “monopoly” in the relevant market. The price effect of such a duopolistic situation is an ongoing subject of contention in economic

intellectual property.”); HERBERT HOVENKAMP, *FEDERAL ANTITRUST POLICY: THE LAW OF COMPETITION AND ITS PRACTICE* 154 (4th ed. 2011) (“[T]o presume market power in a product simply because it is protected by intellectual property is nonsense.”); Nancy T. Gallini & Michael J. Trebilcock, *Intellectual Property Rights and Competition Policy: A Framework for the Analysis of Economic and Legal Issues*, in *COMPETITION POLICY AND INTELLECTUAL PROPERTY RIGHTS IN THE KNOWLEDGE-BASED ECONOMY* 17, 22 (Robert D. Anderson & Nancy T. Gallini eds., 1998) (“There should not be a presumption that an intellectual property right creates market power. . . . [Because] most products and processes face a large number of substitutes.”); Lemley, *supra* note 9, 996 n.26 (1997) (clarifying that the pricing power created by intellectual property rights “does not mean that intellectual property rights automatically confer market power or create ‘monopolies’ in an economic or antitrust sense”).

models that we will turn to shortly.³³ For present purposes, assume that one possible (but by no means necessary) pricing outcome obtains: that prices will approach their competitive level.³⁴ The question for our purposes is what that competitive level will be. Consider two possibilities. In one, the firms compete on price all the way down to marginal cost, thereby undermining each other's ability to recover development costs, resulting in a net loss for both. In the other, the firms price compete again, but now down only to average cost, so that each firm is able to recoup development costs and thus realize a "normal profit," but no rents, while charging a price that will incur some deadweight loss.³⁵ Thus, the first possibility parallels scenario (1): no deadweight loss but also no incentive benefit. The second possibility illustrates how, even in the absence of *any* technical monopoly power or its corresponding supernormal returns, the grant of copyright can result in *some* deadweight loss, and indeed must, if it is to serve its incentive function. Whether or not this pricing power necessarily conferred by copyright is best termed "market power," it does come with deadweight loss.

3. *Trade-offs: Across, Not Within, Innovations.*—What, one might ask, is the problem in cases where IP rights generate only enough pricing power for the innovator to recoup, meaning they enjoy merely quasi-rents rather than supernormal rents? Said quasi-rents being necessary to induce the creation of the work in the first place, they arguably should not be described as a cost, since without them we would incur the greater loss of having to forego the work altogether. This objection betrays, however, another misunderstanding of the IP framework. It assumes that the policy trade-offs associated with IP rights are internal to a specific innovation.³⁶ Under this assumption, little could be improved over a situation where deadweight loss is limited to that necessary for incentivizing the creation of the work. A world with a work and the minimal deadweight loss necessary to incentivize its creation is better than a world with no work at all.³⁷ But the

33. See *infra* note 62 and accompanying text.

34. In fact, most product differentiation models *do not* ordinarily assume that the competition between two entrants would suffice to bring prices down to competitive levels. Rather, the common assumption is that each additional entrant will bring about only a measure of price reduction. The number of entrants and the extent to which price at equilibrium will remain above the competitive level is a function of the ratio between the fixed cost of each entrant and the total available surplus in the market. See CARLTON & PERLOFF, *supra* note 14, at 211; Yoo, *supra* note 1, at 239.

35. We assume here, as a further simplification, that the development costs for each novel were the same.

36. See *infra* note 39 and accompanying text.

37. Sometimes an IP right that generates the minimal amount of deadweight loss required to incentivize creation could be improved upon. This happens when demand patterns allow reshaping the IP right to generate the same amount of revenue to the innovator while imposing a lower deadweight loss. Even in such cases, however, there is no tradeoff between incentive and

basic premise of this argument is misguided. The IP trade-off between incentive and access or between the value of new innovations and deadweight loss, takes place *across* different innovations, *not* internal to any one of them.

To see this, assume that the regime of IP rights at issue will, to a considerable extent, be universally or generically applicable, in the sense that a relatively standardized package of entitlements will be equivalently available for various distinct works or even classes of innovative works.³⁸ If so, at any given level of IP protection, some innovations or informational works will enjoy more protection than is needed for their generation, meaning that the revenues enabled by the IP-conferred pricing power will exceed the capitalized costs of development. Put another way, the share of these innovations' social value that that level of IP protection enables innovators to privately appropriate exceeds private costs of development. As a result, these innovators will enjoy supernormal returns, and there will be some unnecessary deadweight loss. Another category of innovations will enjoy (more or less) just enough protection for their generation. Finally, some socially valuable innovations may not be generated because not enough of their social value can be privately appropriated to justify the private costs of development. Although this point is often neglected or at least remains unspoken, the core trade-off at the heart of IP policy, then, is between the effect of IP rights across these different categories of innovation; the trade-off is *not* internal to a given innovation.³⁹

deadweight loss internal to a specific innovation. Rather, the same amount of incentive is attained for a lower level of deadweight loss. See *infra* text accompanying note 39.

38. In contrast to the theoretical possibility of a regime in which each IP right is tailored to each specific work, or perhaps classes or sectors of innovation. In reality, both the patent and copyright regimes are fairly, although not absolutely, universal, in that alongside generic rules they also include some arrangements that are industry or subject-matter specific. It is commonly observed that the copyright regime is somewhat less universal than the patent regime. For discussion of the policy trade-offs involved in setting the level of the intellectual property regime's universality or uniformity, compare Dan L. Burk & Mark A. Lemley, *Is Patent Law Technology-Specific?*, 17 BERKELEY TECH. L.J. 1155, 1159–60 (2002) (discussing the drawbacks caused by the universality of the current intellectual property framework), Michael W. Carroll, *One for All: The Problem of Uniformity Cost in Intellectual Property Law*, 55 AM. U. L. REV. 845, 849–50 (2006) (explaining that uniform intellectual property rights necessarily impose deadweight loss), Michael W. Carroll, *One Size Does Not Fit All: A Framework for Tailoring Intellectual Property Rights*, 70 OHIO ST. L.J. 1361, 1389 (2009) (describing the “uniformity cost[s]” that “one-size-fits-all” intellectual property rules impose on society), and William Fisher III, *The Disaggregation of Intellectual Property*, HARV. L. BULL., Summer 2004, at 24, 29 (2004) (noting that the three fields of intellectual property have begun to fragment into more customized treatment), with ADAM B. JAFFE & JOSH LERNER, *INNOVATION AND ITS DISCONTENTS* 203–05 (2004) (advocating for simple, uniform treatment of intellectual property as opposed to differential treatment), and R. Polk Wagner, *(Mostly) Against Exceptionalism*, in PERSPECTIVES ON PROPERTIES OF THE HUMAN GENOME PROJECT 367, 379–82 (F. Scott Kieff ed., 2003) (cautioning against imposing formal, distinct legal rules across different technologies).

39. This belies, then, the view that it is an “internal paradox” of the incentive–access framework—one resulting in its indeterminacy—that “a work’s desirability will indicate both the

Specifically, the trade-off concerns whether the benefits of extending protection to enable the generation of some subset of the third category of innovations (those "supramarginal" to the current level of intellectual property protection) will be worth the costs of increasing the unnecessary deadweight loss incurred with respect to the first two categories of innovations (those "inframarginal" to the current level of intellectual property protection). Or, alternatively, whether the benefits of curbing protection to decrease the unnecessary deadweight loss associated with the first category are worth the cost of foregoing the generation of innovations in the latter two.

This, then, is the incentive-access paradigm, corrected for certain potential infelicities of formulation or understanding: there is a necessary trade-off between increasing incentives for creating supramarginal innovations and decreasing access to inframarginal ones. Somewhat more precisely, we are to ask whether the benefits of increased protection—as measured by the present discounted market value of supramarginal innovations that are thereby generated—will outweigh its costs—in terms of the increased deadweight loss associated with inframarginal innovations.